

A V A R A I N V E S T M E N T S

The Freedom Playbook

A Real-World Guide to Buying a Small Business

By Ryan Miller

Why This Ebook Exists

Buying a business changed my life. Is changing my life.

It created a level of freedom, ownership, and responsibility I never experienced in a W-2 job. But it also required more courage, discomfort, and grit than I expected.

When I started this process, I wasn't:

- A private equity guy
- A funded searcher
- Some lifelong entrepreneur

I did finish my MBA in Finance around this time, however, I want to be very clear:

My MBA did NOT give me a meaningful advantage in buying small businesses.

MBA programs are built for corporate careers, not small-business acquisitions.

Most of what I learned came from:

- Getting deals under LOI
- Walking away from bad ones
- Reviewing financials over and over
- Talking to real owners
- Learning from trial and error
- Understanding what NOT to do

Since then, I've learned:

- Most people can buy a small business

- Very few actually do because discomfort stops them
- Information isn't the barrier, fear is
- Buying a business is simpler than people think, but harder than it looks

This ebook is NOT hype.

It's NOT theory.

It's NOT a shortcut.

It's what I wish someone handed me on day one.

Let's get into it.

The Mindset of a Business Buyer

Most beginners assume buying a business is all numbers and spreadsheets.

It's not.

It is first and foremost a mindset game.

If you don't get your mindset right, everything else falls apart.

Buying a business requires:

- Discomfort
- Uncertainty
- Courage
- Grit
- Decision-making without perfect clarity

Let's break that down.

You Must Be Willing to Be Uncomfortable

From childhood, we're raised for comfort:

- Go to college
- Get a safe job
- Avoid risk
- Stay predictable

Buying a business is the opposite.

You WILL:

- Make decisions with incomplete information
- Be pulled in multiple directions
- Have moments where you question everything
- Lose sleep
- Face doubt from people around you

If you want to buy a business, you must be willing to:

- Lean into discomfort
- Take imperfect action
- Move forward even when you're scared
- Risk being wrong
- Push through confusion

It's like learning to ride a bike:

Wobbly. Awkward. Uncertain.

But you get better only by doing it.

Action > Information

General Colin Powell used a simple decision-making rule:

Make a decision when you have 40%–70% of the information.

Less than 40%? You're guessing.

More than 70%? You waited too long.

This applies perfectly to acquisition entrepreneurship.

Most buyers want:

- 100% certainty
- 0% risk
- Perfect information

That's why they never buy anything.

In business buying:

Clarity comes after action not before.

If you wait for perfect information, the deal will be gone.

My Story: The First Real Estate Deal

When I went under contract for my first rental property:

- I didn't sleep
- I feared losing money
- I second-guessed everything
- I felt overwhelmed

And here's the truth:

The second deal was easier.

The third was easier still.

The lesson?

Confidence is built by taking uncomfortable steps even when the first attempt doesn't close.

If You Want to Own a Business, Be the CEO BEFORE You Become One

Signing an LOI flips the switch.

Suddenly:

- The bank wants documentation
- The broker wants updates
- The seller wants reassurance
- Your spouse wants answers
- Deadlines tighten
- New problems show up

You're forced into:

- Making decisions without perfect information

- Solving problems daily
- Managing multiple parties
- Communicating clearly
- Handling stress

You become a CEO before you ever own the business.

If you can do this before closing, you're ready for what comes after.

Grit: The #1 Predictor of Success

If I had to choose ONE trait that determines success in real estate or small-business acquisitions, it's this:

Grit — the ability to persevere when most people quit.

Angela Duckworth's book Grit makes the case:

- Talent matters
- Intelligence matters
- Education matters
- But grit outperforms all of them over the long term

Why?

Because in real estate and ETA/SMB:

- Deals fall apart
- Sellers change their minds
- Banks drag their feet
- Financials look different each time you review them
- Advisors disagree
- Deadlines shift
- Emotions run high

Most people quit long before the finish line not because they're unqualified, but because they lack grit.

Grit is:

- Sticking with a deal when fear shows up
- Pushing through when you want to quit
- Reviewing the numbers again when you're tired
- Responding to the bank even when you're frustrated
- Staying calm when problems appear at the last minute

The good news?

- Grit can be built
- Grit can be practiced
- Grit grows through exposure to discomfort

And in small-business acquisitions:

Grit beats intelligence.

Grit beats degrees.

Grit beats experience.

Every time.

Eight Simple Truths You Must Accept Before You Buy

1. You will be uncomfortable the entire time.
2. You will question whether you're ready.
3. You will have nights where you don't sleep.
4. You will face doubt from friends and family.
5. You will grow faster than you ever have.
6. You don't need all the answers, just courage and consistency.
7. There is no perfect business, only the one you commit to.
8. Buying a business can change your family's future if you stick with it.

Understanding What You're Actually Buying

You cannot evaluate deals intelligently until you know what you're actually looking for.

This section is all about clarity — the #1 skill most beginners skip.

Define Your Buy Box

Your buy box is the lens you evaluate opportunities through.

It includes:

- Your skills
- Your experience
- Your lifestyle and time demands
- Where you live (or are willing to live)
- Your available capital
- Your risk tolerance
- How hands-on you want to be
- The size of business you can realistically run

If you don't define this, everything looks interesting and nothing leads anywhere.

Choose Your Industry With Humility

You don't need to be an expert in the industry you buy.

But you should understand at least one of these, and ideally all three:

1. The customer — Who they are and what they care about
2. The operations — What happens day-to-day
3. The value chain — How money flows through the business

For me:

I wanted something adjacent to real estate.

Why?

Because my overall strategy is long-term wealth building.

I wanted a business that:

- Could support my real estate portfolio
- Had overlap with service trades
- Made sense with the skills I already had
- Fit into a broader financial plan

Your industry choice isn't about passion.
It's about alignment and strategy.

Size Matters (A Lot)

These views are my perspective, based on lived experience.

You WILL hear people say:

"Never buy a business under \$1M EBITDA."

And that advice usually comes from:

- Funded searchers
- People backed by investors
- Individuals paid a salary to search for deals
- Folks whose job is to find large, stable companies

Their model is different.

They want:

- Management teams already in place
- Lower owner dependence
- Stronger systems
- Higher multiples (because investors expect lower risk)
- Predictable results

There is nothing wrong with this.

It's just not what most self-funded buyers are doing.

Most self-funded buyers (like me) are:

- Roll-up-your-sleeves operators
- Hands-on at first
- Growing into the CEO role
- Building something with upside

Here's how I break down size, in a practical, real-world way:

A. Micro-Business (<\$250K SDE)

This is basically a startup with customers.

Expect:

- Chaos
- No systems
- Owner doing everything
- No management layer

Good for:

- People who want to be "on the tools"
- Those willing to build everything from scratch

Bad for:

- Someone wanting to lead from above
- Anyone desiring immediate stability

B. Mid-Sized Small Business (\$300K–\$750K SDE)

This is the zone I like, and where I bought.

You typically get:

- A small team in place
- Some systems
- Some structure
- Some chaos
- Real upside

You're not:

- Rebuilding from zero
- Competing with private equity
- Paying inflated multiples

This is the roll-up-your-sleeves and build something solid zone.

C. Larger Small Business (\$1M–\$3M SDE/EBITDA)

These are often the most stable:

- Better systems
- Strong management
- Predictable cash flow
- Higher multiples

But also:

- Harder to find
- Expensive
- Very competitive
- Attracting funded searchers and small PE firms

If you can get one and it works for your life, great!

But most first-time buyers land in the mid-sized space.

Underwrite As If You Will NOT Improve Anything

This rule has saved me more than once:

Never buy a business assuming you'll run it better than the current owner.

Underwrite the business exactly as it is.

If it cannot:

- Pay the debt
- Pay your salary
- Maintain operations

...based on current performance, you cannot afford it.

Upside is a bonus, not part of the valuation.

Basic Financial Definitions (Beginner Friendly)

Most beginners won't admit it, but I will:

Financial terms in small-business acquisitions can feel confusing at first.

The good news?

You don't need to be a CPA.

You don't need Wall Street experience.

You don't need an MBA.

You just need clear, simple definitions, the way real buyers actually use them.

Let's break them down.

SDE — Seller's Discretionary Earnings

SDE is the total financial benefit to ONE full-time owner-operator.

Formula:

$$\text{SDE} = \text{Net Income} + \text{Owner Salary (adjusted)} + \text{Addbacks}$$

Addbacks are expenses that:

- Won't continue after the sale
- Are personal to the owner
- Are one-time
- Are non-operational

Examples:

- Personal vehicles
- Personal travel
- Owner's phone
- Owner's health insurance
- One-time legal fees
- Owner's family on payroll

Owner salary clarification:

Only add back the portion ABOVE what it would cost to replace the owner.

Examples:

- Owner salary \$120K, replacement \$80K → add back \$40K

- Owner salary \$90K, replacement \$90K → add back \$0
- Owner salary \$150K, replacement \$100K → add back **\$50K**

EBITDA

EBITDA = **Earnings Before Interest, Taxes, Depreciation, and Amortization**

Think of it as:

Pure operating profit before someone's financing or accounting decisions.

Why remove these items?

- **Interest:** Depends on how the current owner financed assets (cash purchases, equipment loans, LOCs). Removing it lets you evaluate the business independent of their choices.
- **Taxes:** Vary widely by state and structure.
- **Depreciation/Amortization:** Non-cash accounting items that don't reflect today's operational cash flow.

When to use EBITDA:

- Larger businesses
- Management team in place
- Owner not active in daily ops

If YOU will be the operator → **SDE** matters more.

If a manager will run the business → **EBITDA** matters more.

Example:

Net Income: \$250K

Owner Salary: \$120K

Addbacks: \$50K

Depreciation/Amortization: \$40K

- SDE: $250 + 120 + 50 = \mathbf{\$420K}$
- EBITDA: $250 + 40 = \mathbf{\$290K}$

Multiples — How Businesses Are Priced

Price = Earnings × Multiple

Multiples vary based on:

- Industry
- Size
- Systems
- Stability of cash flow
- Customer concentration
- Team quality
- Owner dependence
- Growth outlook
- Market competition
- Location

There is no universal multiple.

General guidelines:

- **2.0×–3.0× SDE** for small service businesses
- **3.0×–5.0× EBITDA** for larger, more stable companies

Key point:

Multiples reflect risk.

Not rules.

Risk.

Debt Coverage — CFAD + DSCR

Debt coverage determines whether the business can support:

- Itself
- Its debt
- YOU

CFAD:

CFAD = SDE – Debt – Your Salary

Interpretation:

- Negative → walk
- Under \$50K → too tight
- \$50K–\$100K → okay
- \$100K+ → healthy

DSCR:

Banks want **1.25× DSCR**.

I personally would NOT buy at 1.25×, even if the bank would fund it.

Too tight. No margin for error.

My standards:

- **2.0× DSCR before salary**
- **1.5× DSCR after salary**

Finding Deals

There are two reliable ways to find small businesses:

1. Brokers
2. Off-market outreach

How to Stand Out With Brokers

Brokers ignore most buyers because they:

- Respond slowly
- Don't sign NDAs
- Ask rookie questions
- Don't understand financing
- Act like know-it-alls
- Submit complex or unrealistic offers

To stand out:

- Respond quickly
- Sign NDAs immediately

- Communicate professionally
- Keep emails short
- Don't overcomplicate things
- Make it clear you're financially prepared

Message example:

"Hi, I'm Ryan. I'm looking for a service-based business in the \$300K–\$750K SDE range. I'm financially prepared and can move quickly on a good fit. Please send the NDA and any listings that match."

Off-Market Outreach

Most great small businesses never list publicly.

Owners respond to:

- Respect
- Simplicity
- Honesty
- Direct communication

Message example:

"Hi [Owner], my name is Ryan. I admire what you've built with [Business]. I'm an individual buyer looking to acquire a business like yours in the next 6–18 months. I'm not a private equity group, just someone who values local service companies. If you'd ever consider selling now or in the future, I'd appreciate a low-pressure conversation."

Build a Simple Deal Pipeline

Weekly:

- 5–10 deals reviewed
- 3 conversations started
- 1–2 intro calls

Monthly:

- Maintain a "Top 10" list
- Request deeper financials
- Refine your buy box

Evaluating a Business Quickly (The Real-World Way)

Evaluating a business is part logic, part pattern recognition, part gut instinct and all experience. But beginners can evaluate deals far faster than they think when they know what to look for.

This section gives you a simple, practical way to evaluate any business in under an hour so you don't waste months chasing bad deals.

The 8 Yes/No Filter

These eight questions will save you time, energy, and money.

Answer them quickly and honestly:

1. Is SDE (cash flow) stable for the past 3 years?
2. Can the business safely cover debt AND your salary?
3. Is the owner replaceable without major disruption?
4. Is there a stable, reliable team in place?
5. Is the industry steady (not declining or volatile)?
6. Are the books messy-but-honest (not fraudulent)?
7. Is revenue diversified enough to avoid catastrophic loss?
8. Is the seller's reason for selling believable?

Rule:

If 3 or more answers are NO, walk away.

You cannot "fix" your way out of fundamental weaknesses as a first-time buyer.

Pass and move on.

Understanding the Owner (This Tells You More Than the P&L)

The owner is often the single most important part of the evaluation.

Owners typically fall into three categories:

A. Exhausted Owners

These sellers are tired, worn down, and ready to move on.

Common signs:

- Systems falling apart
- Low energy
- Slow response times
- Business plateauing
- Neglected marketing or operations

This can be a GREAT opportunity if the underlying business is healthy.

Why? Because exhausted owners often hold solid companies back simply because they've run out of gas.

Upside potential: **High**

Risk: **Moderate**

Best for: **Hands-on, roll-up-your-sleeves buyers**

B. Absent Owners

These owners aren't involved day to day.

Common signs:

- Manager or team runs operations
- Owner works <10 hours/week
- Owner is disconnected from customer issues
- Business can run without them

This can be ideal for a buyer, if the team is strong and staying.

Questions to ask:

- Who runs the day-to-day?
- Are they staying after the sale?

- How long have they been with the company?

Upside potential: **Moderate**

Risk: **Low–Moderate** (depending on team)

C. Owner-As-The-Business Owners

This is the riskiest category.

Signs include:

- Owner does the estimating
- Owner does the sales
- Owner is the key technician
- Owner manages all relationships
- Customers call the owner directly for everything

If the owner disappears, so does the business.

This is also where **I personally bought**.

In my case:

- The owner was deeply involved in operations
- Customers trusted him
- Employees relied on him
- He was woven into day-to-day work

To mitigate this risk, I kept him on as **my operator**, while I handled:

- Management
- Leadership
- Strategy
- Financials
- Systems
- Growth

This approach:

- Reduced customer churn

- Preserved technical knowledge
- Protected team continuity
- Helped me grow into the CEO role
- Made the entire transition smoother

So while this category is high risk, it **can** work if:

- The price reflects the dependency
- The owner agrees to stay on
- Roles are clearly defined
- Responsibilities shift gradually
- You are ready to manage the business while the owner continues operating

Upside potential: **Low–Moderate**

Risk: **High (unless structured correctly)**

Systems & Culture (The Invisible Indicators of Success)

Systems — The Backbone of a Stable Company

Good systems look like:

- A working CRM
- Logical scheduling/dispatch
- Standard processes
- Documented workflows
- Clear roles

Bad systems look like:

- "Everything is in the owner's head"
- No customer database
- No scheduling system
- No quoting/invoicing structure
- Employees improvising constantly

Important distinction:

Messy systems = opportunity.

Nonexistent systems = danger.

Culture — The Hardest Thing to Fix (But Easiest to Spot)

Green flags:

- Long employee tenure
- Mutual respect
- Teamwork
- Positive energy
- Owner speaks well of employees

Red flags:

- High turnover
- Toxic behavior
- Blame game
- Owner bad-mouthing staff
- Staff bad-mouthing owner
- A culture of "survive, don't thrive"

If systems are bad, you can fix them.

If culture is bad, it's often a deeper problem.

How to Evaluate a Business in 60 Minutes

A first pass should NOT take more than an hour.

Look for:

- **A. SDE Stability** — Smooth or volatile?
- **B. Owner Dependence** — Can you realistically replace them?
- **C. Customer Concentration** — Any client over 20–30% is risky.
- **D. Team Strength** — Will key people stay?
- **E. Systems** — Are there at least basic processes?
- **F. Reason for Sale** — Does it make sense?

- **G. Debt Coverage** — Can you safely afford it?
- **H. Gut Feel** — If something feels off, pay attention.

If it passes this test, it deserves deeper underwriting.

If not, walk.

Underwriting a Deal (The Reality Check Section)

Underwriting is where your emotions meet math.

It's where the truth reveals itself.

This section gives you a clear, simple underwriting process that protects you from bad deals.

Step 1 — Normalize SDE (With Correct Salary Treatment)

Start with net income.

Add back:

- Owner perks
- One-time expenses
- Non-operating costs
- Excess owner salary (ONLY the portion above a reasonable replacement salary)

Correct salary example:

If owner pays themselves \$120K but replacement would cost \$80K → add back **\$40K**.

Examples:

- \$120K salary, \$80K replacement → add back \$40K
- \$90K salary, \$90K replacement → add back \$0
- \$150K salary, \$100K replacement → add back **\$50K**

This is one of the biggest beginner mistakes — and this rule prevents it.

Step 2 — Estimate the Purchase Price

Use the proper multiple.

Example:

- $SDE = \$350K$
- $Multiple = 2.8\times$
- $Price \approx \mathbf{\$980K}$

Simple.

Clean.

Effective.

Step 3 — Model Your Debt

Typical SBA structure:

- 10% down
- 90% loan
- 10-year term
- Prime + margin

Rule of thumb:

$\$900K$ loan $\rightarrow \sim \$95K$ – $\$105K$ annual payments.

Use **$\$100K$** for quick math.

Step 4 — Insert Your Salary

How much do you need to live?

Most families land in the:

- $\$80K$ – $\$120K$ range

This **MUST** be included in the math.

Step 5 — Calculate CFAD (Cash Flow After Debt)

Formula:

$$\mathbf{CFAD = SDE - Debt - Your Salary}$$

Interpretation:

- Negative $\rightarrow$ walk
- Under $\$50K \rightarrow$ too tight

- \$50K–\$100K → okay
- \$100K+ → healthy

This is the most practical, real-world number in underwriting.

Step 6 — DSCR (My Personal Standard)

Banks require **1.25× DSCR**.

I would NOT buy a business with only 1.25×, even if the bank approved it.

It's too tight.

My standard:

- 2.0× DSCR before salary
- 1.5× DSCR after salary

This gives you a real buffer for:

- Seasonality
- Employee turnover
- Equipment failure
- Market changes

Step 7 — Stress Test the Deal

Lower SDE by **20%** and re-run numbers.

Ask:

- Can it still service debt?
- Can it still pay your salary?
- Can it still survive?

If not → deal is too tight.

Step 8 — Does This Deal Fit YOUR Life?

Underwriting isn't just math.

It's about:

- Your lifestyle
- Your stress tolerance
- Your time availability
- Your spouse's comfort
- Your long-term goals
- Your confidence in the team

A good deal that doesn't fit your life is a bad deal.

A good deal that fits your life can change everything.

Due Diligence (Where the Reality Shows Up)

Due diligence is where beginners feel the most fear and where most deals fall apart.

Not because the deals are bad.

But because buyers get overwhelmed **and sellers get cold feet**.

You WILL find problems in every business.

That doesn't make it a bad deal.

Deal Killers (Walk Immediately)

These end deals:

- Fraud
- Hidden liabilities
- Fake financials
- Undisclosed lawsuits
- Customer concentration disasters
- Owner dishonesty
- Safety or compliance landmines

These are not "fix later" problems.

Walk away.

Normal Problems (Often Opportunities)

These are NOT deal killers:

- Messy bookkeeping
- No CRM
- No SOPs
- Old trucks or equipment
- Weak website
- Weak marketing
- Paper invoicing
- Owner doing too much
- No hiring system
- No documentation

These are NORMAL.

These are also where the upside lives.

Due Diligence Resource I Recommend

The book Buy Then Build lays out a strong due diligence framework:

- What to verify
- How to verify it
- How to think about risk
- What matters most

Use it to build your checklist.

How to Think During Diligence

Expect:

- Overwhelm
- Doubt
- Confusion
- Conflicting professional advice
- Emotional swings

Remember:

Diligence is about confirmation, not perfection.

Ask:

- Are the numbers real?
- Does the business function as presented?
- Are the risks manageable?
- Can it survive year one under your leadership?

If yes → proceed.

If no → walk.

Closing the Deal & Your First 90 Days

Closing is chaotic.

Everyone wants something from you:

- Bank
- Seller
- Broker
- CPA
- Attorney
- Landlord
- Insurance team
- Vendors

You must remain organized and calm.

Last 30 Days: Stop Negotiating, Start Collaborating

This is NOT the time for:

- Big price arguments
- Ego battles
- Last-minute demands

Late-stage pushing kills deals.

Shift from adversarial to collaborative.

First 90 Days: Don't Break Anything

Your ONLY job:

Stabilize, learn, and build trust.

Weeks 1–2: Listen + Observe

- Meet every employee
- Understand roles
- Learn workflow
- Evaluate culture
- Ask questions
- Avoid changes

Weeks 3–12: Small Wins

- Document processes
- Strengthen communication
- Fix small issues
- Build rapport
- Identify bottlenecks
- Improve without chaos

You're building trust and confidence.

What NOT to Do (With a Clarification)

Typical advice says:

"Don't change pricing or software early."

But I did both; successfully.

The difference?

I did the heavy lifting **quietly on the backend**:

- Prepared everything before rolling it out
- Tested it
- Ensured techs never felt the chaos
- Implemented without disrupting operations

So here's the accurate guidance:

Avoid in the first 90 days:

- Rebranding
- Firing key people
- Changing the business name
- Staff surprises
- Chaos-inducing changes
- Ripping out processes without replacements
- Moving locations
- Management reshuffling

If you DO change pricing or software early:

- Build it in the background
- Test it
- Roll it out cleanly
- Communicate clearly
- Protect the technicians from disruption

The rule isn't "don't change things."

The rule is **don't create chaos.**

When to Start Improving the Business

Improve after:

- You understand the people
- You understand operations
- You understand financial rhythms
- You've earned trust

- You've stabilized everything

The obvious early wins:

- CRM upgrades
- SOPs
- Better communication
- Tighter financial reporting
- Updated marketing
- Improved customer follow-up

Do it with intention, not speed.

The Truth About Buying a Business

Most people online glamorize this journey.

In reality:

Buying a business is uncomfortable, stressful, and transformative.

Here's what no one tells you:

You Will Not Feel Ready

You'll question everything. Normal.

You Will Feel Fear

Fear doesn't mean stop. It means pay attention.

You Will Face Pressure

From:

- Lenders
- Advisors
- Seller
- Spouse
- Yourself

This pressure builds you.

You Will Never Have Perfect Information

If you wait for certainty, you'll never buy anything.

Your Growth Will Be Faster Than Any Corporate Job

You'll become:

- More decisive
- More capable
- More resilient
- More confident

This journey changes you.

You Can Change Your Family's Future

This is not:

- A hack
- A shortcut
- A gimmick

It is a path to:

- Ownership
- Income
- Flexibility
- Stability
- Legacy

This is how family trees change.

Conclusion — Freedom Isn't Found. It's Built.

Freedom comes from responsibility, not escape.

If you're willing to:

- Push through discomfort
- Act without perfect clarity

- Take responsibility
- Lead yourself and others

...then business ownership is within reach.

You're not too late.

You're not underqualified.

You don't need permission.

You just need courage and consistency.

You're closer to becoming an owner than you think.

Case Study: Underwriting "Blue Horizon HVAC"

Step 1 — Pull Key Numbers From the P&L

Revenue: \$1,650,000

COGS: \$1,020,000

Gross Profit: \$630,000

Operating Expenses

- Office/Admin Wages: \$210,000
- Rent: \$42,000
- Insurance: \$15,000
- Fuel: \$27,000
- Utilities: \$9,000
- Marketing: \$15,000
- Repairs/Small Equipment: \$12,000
- General/Admin: \$33,000

Total Operating Expenses: \$363,000

Net Income:

$\$630,000 - \$363,000 = \mathbf{\$267,000}$

This is the type of business that looks appealing at first glance, but you can't tell yet whether it's good, bad, or in-between.

Step 2 — Normalize for SDE

Addbacks:

- Owner Salary: \$110,000
- Owner Health Insurance: \$10,000
- Personal Vehicle: \$9,600
- One-Time Legal Fees: \$5,000
- Excess Meals/Travel: \$3,400
- Depreciation: \$18,000

Total Addbacks: \$156,000

SDE (before salary adjustment):

$\$267,000 + \$156,000 = \mathbf{\$423,000}$

But remember: only add back the *excess* owner salary.

If a replacement manager would cost \$90,000:

$\$110,000 - \$90,000 = \mathbf{\$20,000 \text{ real addback}}$

Correct SDE =

$\$423,000 - \$90,000 =$

\$333,000 SDE

Now we're in the territory where the deal *might* work... or might be too tight.

Step 3 — Estimate the Purchase Price

Assume a **2.6× SDE multiple** because:

- owner is heavily involved
- systems are okay but not great
- industry is stable
- books are messy-but-honest
- team is solid but thin

$\$333,000 \times 2.6 = \mathbf{\$865,800}$

Rounded: \$870K purchase price

Step 4 — Model SBA Debt

10% down → ~\$87,000

Loan amount → ~\$783,000

10-year SBA term:

Annual payment ≈ **\$96,000**

Step 5 — Insert Your Salary

Assume you need: **\$100,000**

This is where most deals collapse... so let's look.

Step 6 — Calculate CFAD

CFAD = SDE – Debt – Your Salary

CFAD = \$333,000 – \$96,000 – \$100,000 = **\$137,000 CFAD**

Step 7 — DSCR Test

SDE minus your salary =

\$333,000 – \$100,000 = **\$233,000**

DSCR = \$233,000 ÷ \$96,000 = **2.42×**

This passes, but the margin is coming from YOU doing real work not from free cash flow.

This is important. Are you willing to "buy yourself a job?"

Step 8 — Stress Test (20% Drop)

Stress SDE:

\$333,000 × 0.8 = **\$266,400**

Debt: \$96,000

Your salary: \$100,000

Stress-Test CFAD:

\$266,400 – \$96,000 – \$100,000 = **\$70,400**

That is *tight*.

But still positive.

Stress-Test DSCR:

$$\$266,400 - \$100,000 = \$166,400$$

$$\$166,400 \div \$96,000 = \mathbf{1.73\times}$$

Bottom-Line Analysis

Looking at the numbers alone:

- It works
- But not by a mile
- The transition must go well
- And only if YOU absorb some of the owner's responsibilities at first

This is the type of deal where you would need:

- Tight operational control
- Zero surprises
- A stable team
- A seller who transitions well

This is not automatic.

This is not easy.

This is not an obvious yes but not a no either.

Final Reality Check

This deal pencils, but there's a catch:

The owner is doing estimating and several operational tasks that are NOT fully visible in the P&L.

You must replace that labor.

And you only have three options:

- 1. Take over those responsibilities yourself**
- 2. Shift them to an existing employee (with compensation)**
- 3. Hire someone**, which would likely kill the deal because the numbers are already tight

So yes, the math *works* but only if you step into real operational roles or have a plan for replacing the owner.

Ignoring this is where you can get crushed.

A Quick Word About "Hidden Gotchas"

There are a million and one things I could go into to make this book twice as long. Every deal has quirks, and every business has its secrets. The case study I shared is meant to illustrate the basics clearly, not cover every nuance. There are plenty of "gotchas" you'll only see once you start digging in, like borderline deals that look good on paper, fake or inflated addbacks, how a 10–15% revenue dip can reveal culture problems, or what really happens when the owner is the glue holding everything together. I'm not expanding this book to that level of detail, but I do want you to understand this: ask questions, trust your intuition, and pay attention to what doesn't feel right. Your gut is a powerful tool when numbers and narratives don't match.

If you made it this far, thank you!

Most people never take the time to learn this stuff, let alone push through the discomfort of exploring ownership. The fact that you're here tells me you're serious about changing your life, providing for your family, and building something that matters. I hope this gave you clarity, confidence, and a real-world look at what it takes to buy a business. Use it, revisit it, keep asking questions, and trust yourself as you move forward.

Happy hunting. Your future is a lot closer than you think.

Your Next Step

You've got the framework. Now don't let it sit on your hard drive.

The difference between people who buy a business and people who only think about it isn't information — you just got plenty of that. It's momentum. So before you close this out, take one small, uncomfortable step today:

1. **Tell me where you're stuck.** Shoot me a DM on Instagram (@ryanlmillerinvests) — tell me where you are in the journey (thinking about it, actively searching, or under LOI)

and the one thing holding you back. I read my DMs personally and I'll get back to you. The questions you send also shape what I build next.

2. **Run a real deal through the checklist.** Use the one-page Deal Evaluation Checklist on the next page on an actual listing this week — not when you "feel ready." Reps build confidence; reading doesn't.

You're closer to becoming an owner than you think. Let's keep going.

— Ryan

P.S. If this helped, follow along on Instagram at **@ryanmillerinvests**. That's where I share how I'm actually buying and running businesses, with no fluff. Come say hi and tell me where you are in your journey.

Appendix: The Deal Evaluation Checklist

Print this page. Run any real business through it in under an hour. If you can't answer a line, that's your next question for the broker or seller.

The Deal

Business / Industry: _____

Asking price: _____ Stated SDE: _____

Reason for sale: _____

Part 1 — The 8 Yes/No Filter (3+ "No" = walk)

- | | |
|---|--|
| ☐ SDE stable past 3 years? | ☐ Reliable team in place? |
| ☐ Covers debt AND your salary? | ☐ Industry steady (not declining)? |
| ☐ Owner replaceable w/o disruption? | ☐ Books messy-but-honest (not fraud)? |
| ☐ Revenue diversified (no client >20–30%)? | ☐ Seller's reason believable? |

Part 2 — The 60-Minute Read

A. SDE stability (smooth/volatile):

E. Systems (basic processes?):

B. Owner dependence:

F. Reason for sale makes sense?:

C. Customer concentration:

G. Debt coverage (afford it?):

D. Team strength (key people stay?):

H. Gut feel:

Owner type (circle): Exhausted / Absent / Owner-as-the-business Systems: messy / nonexistent Culture: green / red flags

Part 3 — The Underwrite

1. Normalized SDE (add back excess owner salary only): _____
2. Purchase price = SDE × multiple (2.0–3.0× service): _____
3. SBA debt (10% down, 90% / 10yr) → annual payment: _____
4. Your salary (what you need to live): _____
5. CFAD = SDE – Debt – Your Salary = _____ (neg = walk; <\$50K = tight; \$50–100K = ok; \$100K+ = healthy)
6. DSCR after salary (target 1.5×+ ; banks want 1.25×): _____
7. Stress test — drop SDE 20%, re-run CFAD & DSCR. Still positive? ☐ Yes ☐ No
8. Does this deal fit YOUR life (time, stress, spouse, goals)? ☐ Yes ☐ No

Verdict

☐ Pursue & deeper diligence ☐ Watch / revisit ☐ Walk

Underwrite as if you will NOT improve anything. Upside is a bonus, not part of the valuation.